INTRODUCTION

Asset-backed securities (ABS) are securities backed by and repaid from a pooled group of loans or receivables. Creating securities that are repaid from particular types of loans or receivables transfers risk, provides flexibility to issuers and investors, and efficiently allocates capital. In a securitization, cash flows from a designated pool of assets are redistributed by a special purpose issuer to pay interest and principal to investors in a predetermined manner. Thus, ABS transactions create an entire new subordination structure on the designated pool of assets. Securitization takes place around the world — in the Americas, Asia, and Europe. This first of three Fixed-Income Learning Modules describes the benefits of securitization, the securitization process, and typical securitization structures.

Learning Module Overview

- Securitization benefits investors by redistributing payment risks, enhancing the predictability of payments, diminishing the impact of unexpected changes in payment patterns (such as defaults, prepayments, or payment extensions), helping investors match risk, return and maturity needs, and reducing risk through various credit enhancements.
- Securitization enables issuers to operate more efficiently on a risk-adjusted basis by removing assets and lending risks from their balance sheets (thereby reducing their leverage), expanding their capacity to originate loans and to secure lower funding costs.
- Securitization enhances financial market efficiency, improving overall liquidity in the financial system and reducing liquidity risk.
- Several parties participate in a securitization, including the original corporate issuers of the assets (for example, loans, receivables, leases, or debt) to be securitized; a special purpose entity (SPE) created to buy/own these corporate assets, create new assets from them, and sell the new assets to investors; the servicer of the underlying loans or debt; and other (third-party) entities (for example, accountants, attorneys, and underwriters).
- When an original issuer elects to securitize assets, it first establishes an SPE to which it sells the assets. The SPE then issues and sells to investors securities backed by these assets. Interest and principal payments on the assets are used to pay the investors in the new securities.
- The separate legal entity structure of the SPE is designed to protect the underlying assets from any claims by creditors of the issuer should the issuer go into financial distress. However, ABS investors should evaluate the legal considerations of the actual jurisdiction where they purchase an ABS, since legal frameworks vary by country.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

Which of the following asset-backed securities (ABS) is *most* complex?

A. Covered bonds
B. Pass-through securities
C. Collateralized mortgage obligations

Hide Solution

Solution

C is correct. Collateralized mortgage obligations enhance the predictability of payment patterns of pass-through securities by redistributing the cash flows in the pool across the different tranches according to a preset schedule. A is incorrect because covered bonds are the simplest securitization structure. The issuer segregates (but retains) the underlying loans/assets and then uses the segregated loans/assets as collateral for the covered bonds it issues. B is incorrect because pass-through securities, while true securitizations (meaning that the pool of assets is removed from the balance sheet and transferred into a separate and independent legal entity), are not as complex as collateralized mortgage obligations.

2. Which of the following legal documents in the securitization process describes the structure of the securitization, including the priority of payments and the credit enhancements to be used?

A. Prospectus
B. Notes issued by the SPE
C. Purchase agreement between the seller of the collateral and the SPE

Hide Solution

Solution

The correct answer is A. The prospectus describes the structure of the securitization, including the priority and amount of payments to be made to the servicer, administrators, and the ABS holders, as well as the credit enhancements used in the securitization. B is incorrect because the notes issued by the SPE are the actual asset-backed-securities (ABS), not legal documents supporting the securitization process. C is incorrect because the purchase agreement between the seller of the collateral and the SPE outlines the representations and warranties that the seller makes about the assets sold.

3. Identify the role that corresponds to each of the following participants in a securitization:

1. Seller	A. The entity that issues the ABS
2. Servicer	B. The entity that wishes to increase liquidity, lower funding costs, and operate more efficiently on a risk-adjusted basis
3. SPE	C. The entity that collects payments from borrowers

Hide Solution

Solution

1. B is correct. By removing assets and lending risks from their balance sheet, the seller can operate more efficiently on a risk-adjusted basis. And, by selling the assets to an SPE, investors can rely on the default risk associated with collecting payments from customers, rather than the seller's credit quality and default risk. As a result, in aggregate, the funding cost of a securitization may be lower than that of a corporate bond issue.

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may be delinquent, and recovering and disposing of the underlying asset if the borrower does not make the payments as scheduled.

3. A is correct. The SPE purchases the assets from the seller and then issues and sells ABS backed by the pool of securitized assets.

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Discussion

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